citizenry. That bedrock is fissuring in industrial countries, while it has to be strengthened in emerging markets like India.

FREE ENTERPRISE AND POLITICAL FREEDOM

Why are political freedoms in a country, of which representative democracy is a central component, and free enterprise mutually supportive?

There is, of course, one key similarity: both a vibrant democracy and a vibrant free enterprise system seek to create a level playing field which enhances competition. In the democratic arena, the political entrepreneur competes with other politicians for the citizen's vote, based on his past record and future policy agenda. In the economic sphere, the promoter competes with other entrepreneurs for the consumer's rupee, based on the quality of the product he sells.

But there is also at least one key difference. Democracy treats individuals equally, with every adult getting one vote. The free enterprise system, by contrast, empowers consumers based on how much income they get and property they own. What then prevents the median voter in a democracy from voting to dispossess the rich and successful? And why do the latter not erode the political rights of the ordinary voter. This fundamental tension between democracy and free enterprise appeared to be accentuated in the recent U.S. presidential elections as President Barack Obama appealed to middle-class anger about its stagnant economic prospects, while former Massachusetts governor Mitt Romney appealed to business people, disgruntled about higher taxes and expanding health care subsidies.

One reason that the median voter rationally agrees to protect the property of the rich and to tax them moderately may be that she sees the rich as more efficient managers of that property, and therefore as creators of jobs and prosperity that everyone will benefit from. So, to the extent that the rich are self-made, and have come out winners in a